

Time Based Models

An abstract graphic consisting of several concentric, curved lines that sweep from the bottom right towards the top right. The lines are in various shades of gray, creating a sense of depth and movement. They are positioned on the right side of the cover, partially overlapping the main title.

A Complete
Guide for Data-
driven approach

written by JJumbo

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Introduction

In this document, i present my frameworks and tools with all my models and how i view the financial markets.

Please bear in mind that this is not financial advice. The information here are solely based on my personal experience.

These tools and models offer a significant potential and guide lines to gauge an edge in the markets; However, the results are guaranteed by the success of personal application and requires an understanding and effective risk management in place.

I will present the technical aspects of the frameworks and my personal approach, but i also will give enough space for the trader to apply its own understanding.

Thanks.



Indicator instructions

SDRange+ [JJumbo]

×

Inputs

Style

Visibility

Range Window

06:00

⌚

–

09:00

⌚

ⓘ

Timezone

America/New

☐ Show Open?

☐ Show Close?

☒ Show EQ?

☒ Show Quadrants?

Dotted

▼

☒ Show High/Low?

Solid

▼

2

Label Size

tiny

▼

TABLE SETTINGS

☒ Show table?

Text Color

Table Color

VISUAL SETTINGS

☒ RTH Candles?

Range Box Color

High/Low Color

Quadrants Color

EQ Color

Open Color

Close Color

Range Settings

- Custom range time selection
- Custom quadrant levels 25% 75%
- Equilibrium
- Range open and close levels
- Custom High and Low lines
- Table showing range size in points

Visual Settings

- RTH Candles activation
- Lines customisable colors

PROJECTIONS

☒ Show Mean levels?

☒ Show Projections?

☐ Show mean box? ⓘ

Direction Both ▾

Projections Color 

1.33 & 1.66 Color  ⓘ

Mean level color  ⓘ

Mean box color 

☐ R/R box ⓘ

R/R box color 

PROJECTIONS LABELS

Label Size tiny ▾

Projections settings

- Mean reversal levels toggling
- projections toggling
- Area shading of mean reversal
- Projection direction plotting
- Projection customisable colors
- Retracement/reversal levels
- Mean reversal lines color
- Retracement/Reversal (R/R) shading area
- Projection labels sizes

ONS LIQUIDITY SETTINGS

☐ Show Pivot Session 1?

☒ Show Pivot Labels?

Pivot Session 1 03:00 ⌚ – 07:00 ⌚ ⓘ

Lable text H1 L1

Pivot Line Color 

Pivot Line Width 1

☐ Show Pivot Session 2?

☒ Show Pivot Labels?

Pivot Session 2 20:00 ⌚ – 00:00 ⌚ ⓘ

Lable text H2 L2

Pivot Line Color 

Pivot Line Width 1

Custom overnight sessions highs and lows

- 2 custom session selection
- Custom highs and lows text labels
- customisable lines width and colors

Framework Overview

The framework is based entirely on time-based ranges that appear throughout the day during electronic trading hours and regular trading hours (all times i refer to during the entirety of this document will be in Eastern Standard Time, ET).

Markets often exhibit rhythmic behavior tied to sessions, where liquidity and volatility spike predictably for order accumulations and breakouts

The idea behind this and how i view ranges is that every range has measurable exhaustion points where price absorbes orders accumulated during the range window and reverses or breaks after hitting trapped stops to then distribute to post-breakouts targets often corresponding to the range extensions. It usually happens in the form of “False Breakout” or judas swing as ICT describes it (which is one of the models later presented) or just “Range breakout”.

Our job is to anticipate these moves in the exhaustion areas and position ourselves during specific time windows during the trading session where statistically these moves form.

This logic can be applied to multiple ranges present throughout the day helping you identify these moves and the signatures in price at said levels. This system is fairly simple and a rules-based system focusing on time and price signatures can reduce overthinking, making it actionable if backtested and followed consistently.

Time-Based Ranges

In this section i will go through a series of time-based ranges that i personally discovered and backtested and consider significant, by no means this what you should only trade but feel free to experiment with other times with the help of my tool

Overnight Session:

- 08:00pm - 08:30pm (Asia opening range)
- 00:00am - 00:30am (Midnight opening range)
- 03:00am - 03:30am (London opening range)
- 06:00am - 09:00am (ONS session - main New York model)

RTH Session AM:

- 09:30am - 10:00am (Equities opening range)
- 10:00am - 10:30am

RTH Session Lunch/PM:

- 12:00pm - 12:30pm (Lunch opening range)
- 03:00pm - 03:30pm (MOC macro trading session)

Trading Set Ups (section a.)

6-9 Model (main New York AM model)

Time range selection: 6:00am - 9:00am

- Judas Model

This model is what i define as my A+ bread and butter, always terminating my trading session before 10am. Quick in and out and easy to spot providing on average 80 -120 pts, it usually presents two distinct trade opportunities, the judas trades from 9:30 to the reversal window and the actual reversal trade between the 9:40 and 9:50.

- Trade #1

As stated above, this model presents two trades with two levels of difficulty, the first trade is where we position ourselves right at the open where we participate in the judas move (false breakout) towards the projections of the range where the reversal will take place.

The time window of this trade spans from 9:30 open until the 9:40 -9:50 reversal window where the real move will happen. I suggest to have positions closed as we reach the reversal window, the yield of this trade outcome will vary depending on the size of the 6-9 range (e.g. the distances from open to projection levels) application of risk to reward needs to be considered)

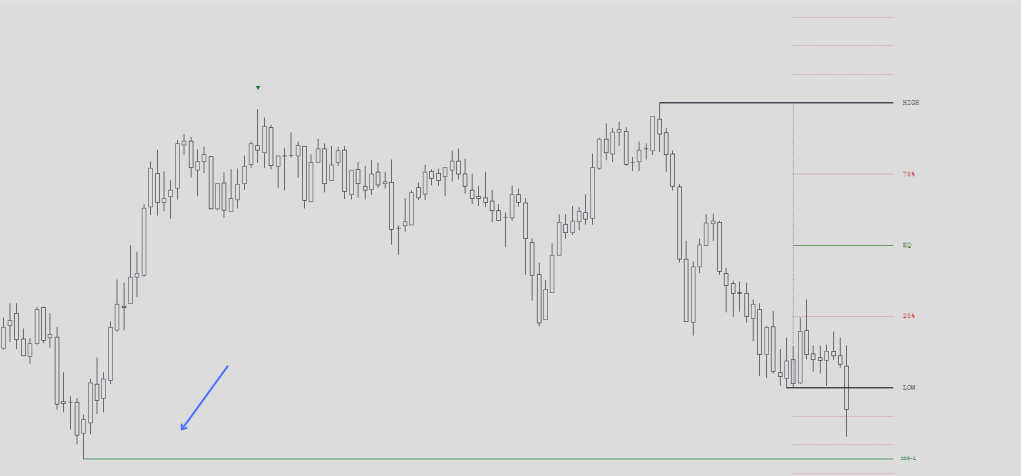
- Trade #2

The second trade in this model is easier to trade, filters out the volatility of the open and allows you to let price develop before taking place in any position avoiding to be knocked out of your trade.

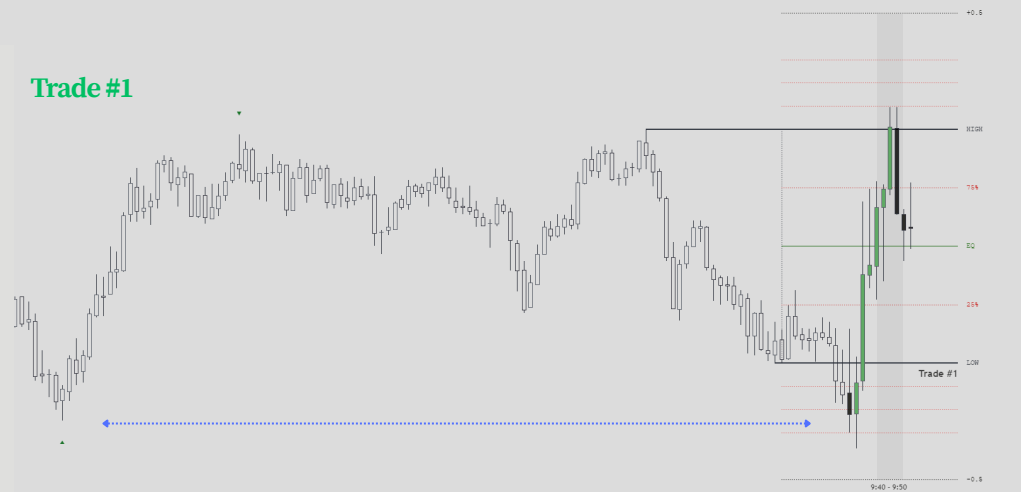
Here is where we participate in the reversal during the 9:40 - 9:50 window, levels of interest will be the mean reversal levels or -0.5 projection.

By this time we are already in position to ride the actual move after the fake breakout, price will move faster and cleaner also allowing you to build a larger position towards the higher projections of the range and compound on the winners.

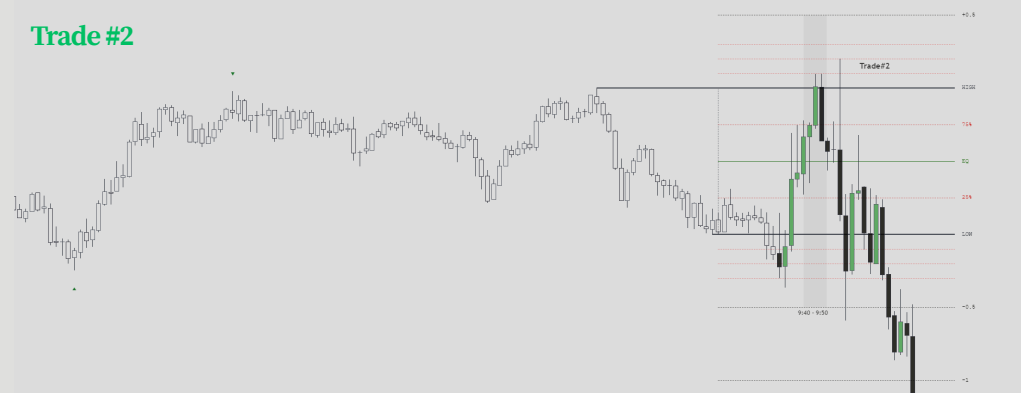
Chart Examples 



Trade #1



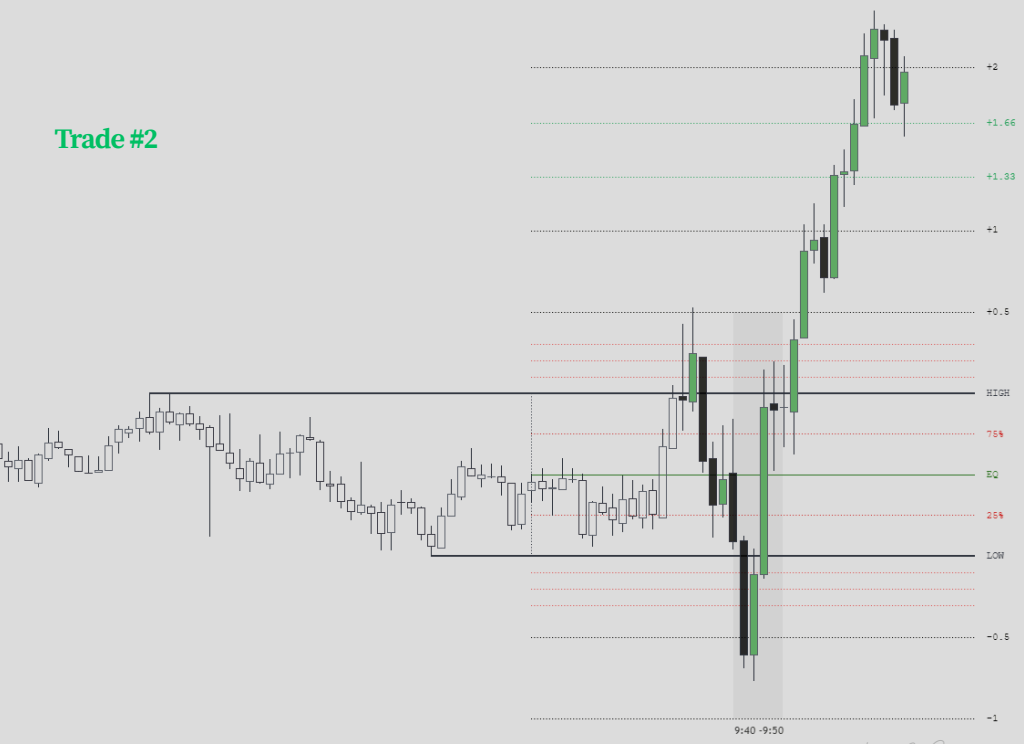
Trade #2

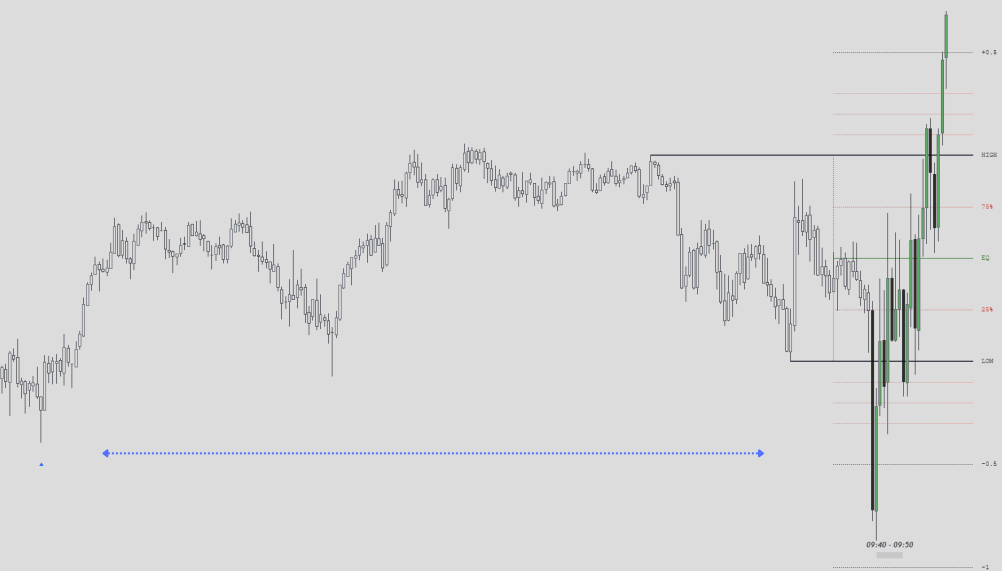
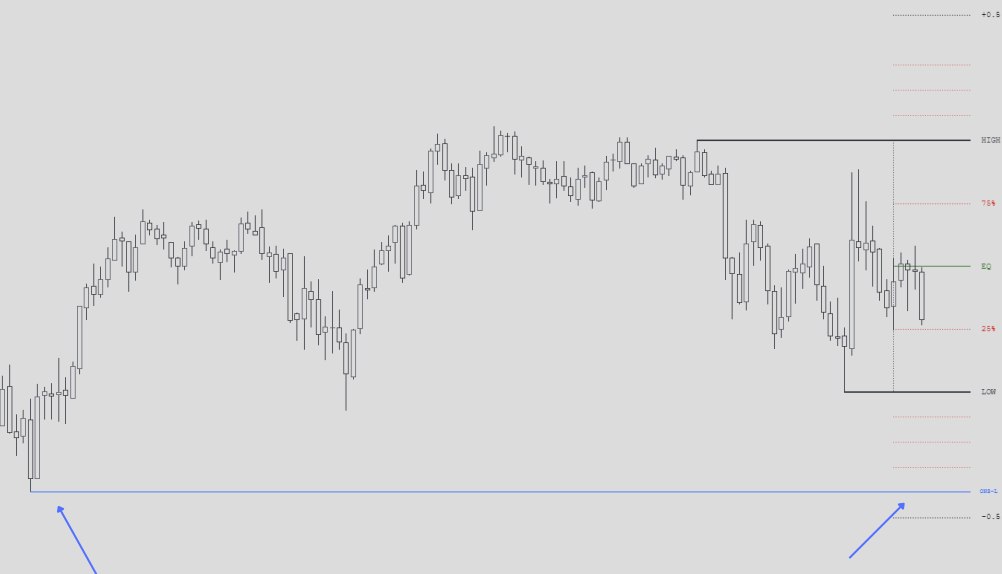


Trade #1



Trade #2





Additional confluence is given for the reversal trades, the indicator plots the highs and lows of a chosen overnight session (time-based liquidity) for probable liquidity purge which will then be deleted once purged.

Time range selection: 6:00am - 9:00am

- **Single Breakout Model**

In this model, taking in consideration the size of the overnight range is really important (i will later discuss in the “expectation section”), the size of the ONS range will give you a hint whether we will have a false breakout or just a breakout distributing from the EQ or quadrants.

Always take in consideration the table below to know the size of the range before market open.

This is usually a slower trade where i lower my expectation in terms of profit taking and extension reaching, you want to be in the trade before 10am an look to close position around 9:40-9:50 window.

Scenario #1 (Extended overnight range)

In the case of having an extended overnight range, the EQ or quadrants become our levels on interest.

This is usually where i lower my expectations during AM session, the 6-9 range high/low are sufficient as target for the most part, the projections are off the table and after 10am all interest in being in a position is not longer present. Price tends to consolidate all the way through lunch/PM session

Scenario #2 (Stop Hunts - relative strength/weakness between indices during overnight)

When overnight presents stop hunts/ swing failure scenarios and every significant overnight liquidity has been purged , During AM session price usually don't present a fake breakout to knock people out of positions, we can anticipate price expanding from the inner range levels (EQ, Quadrants).

In this case scenario my targets expectation increases, we can notice a shrink overnight range leading to explosive expansions during the AM session discarding the 9:40 9:50 window to be of any interest for reversals but rather use it as continuation where i would look to add to my position.

As you can notice, on all set ups i keep “Show RTH candles?” toggled on to only highlight candles from 9:30 onwards as i only look to enter positions after open.

VISUAL SETTINGS

☒ RTH Candles?

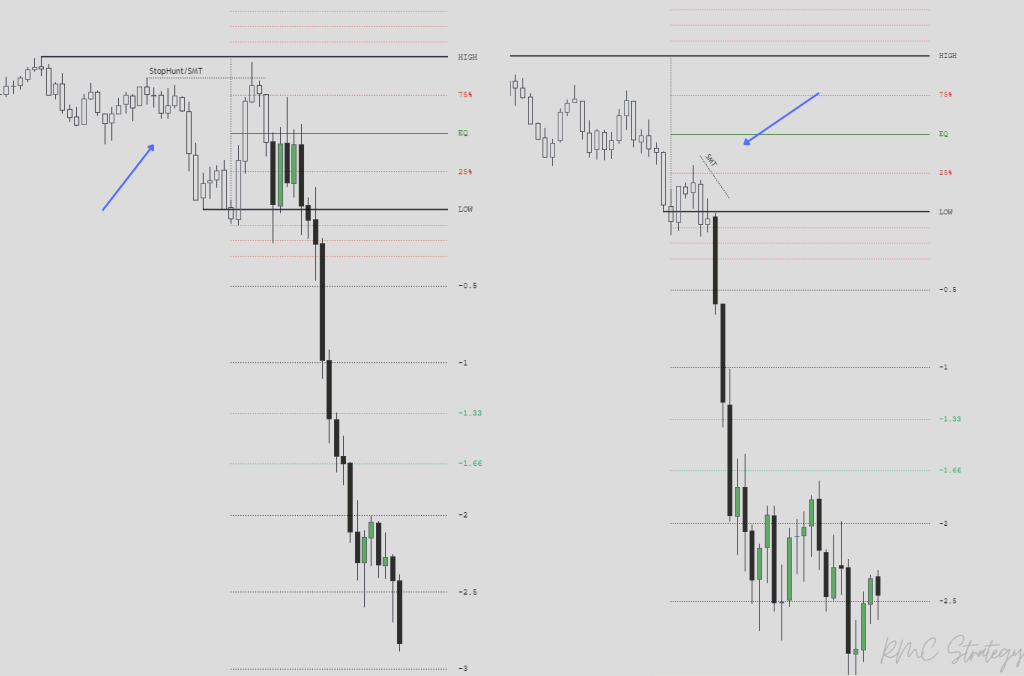
Chart Examples ↓

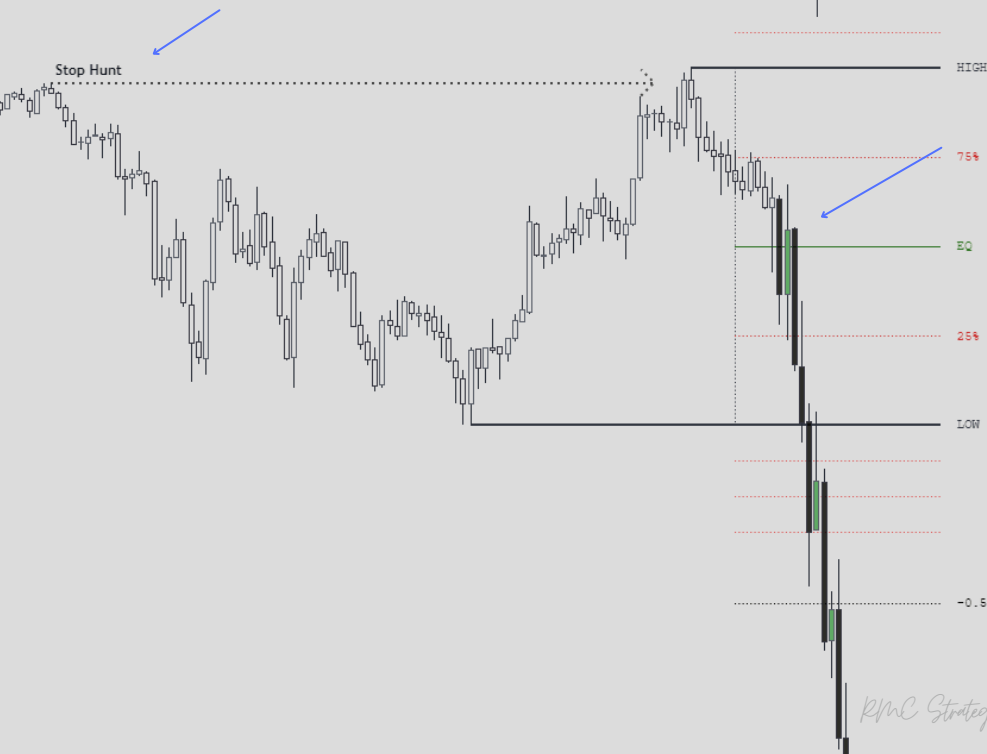
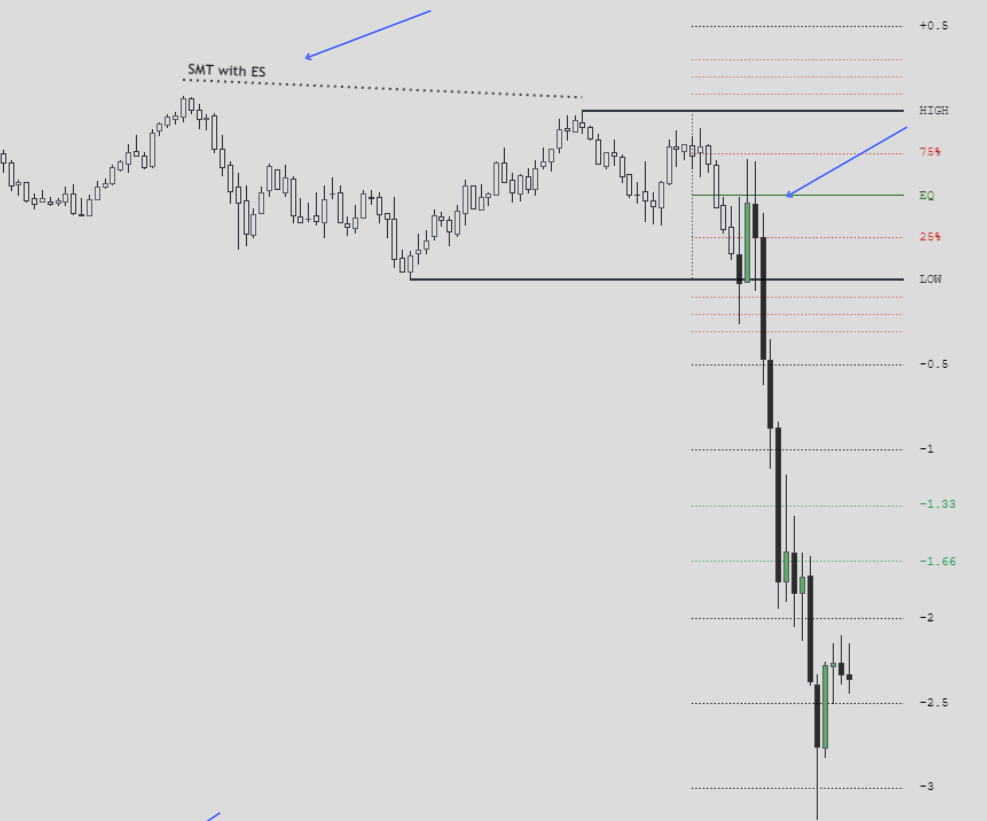
RMC Strategy

Scenario #1

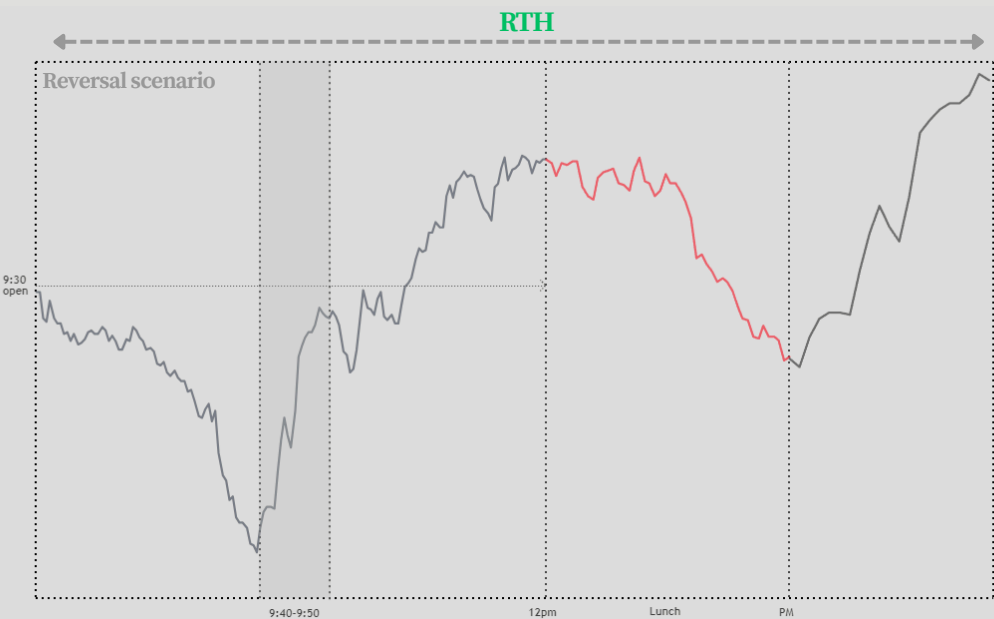


Scenario #2





Trading session windows (section b.)

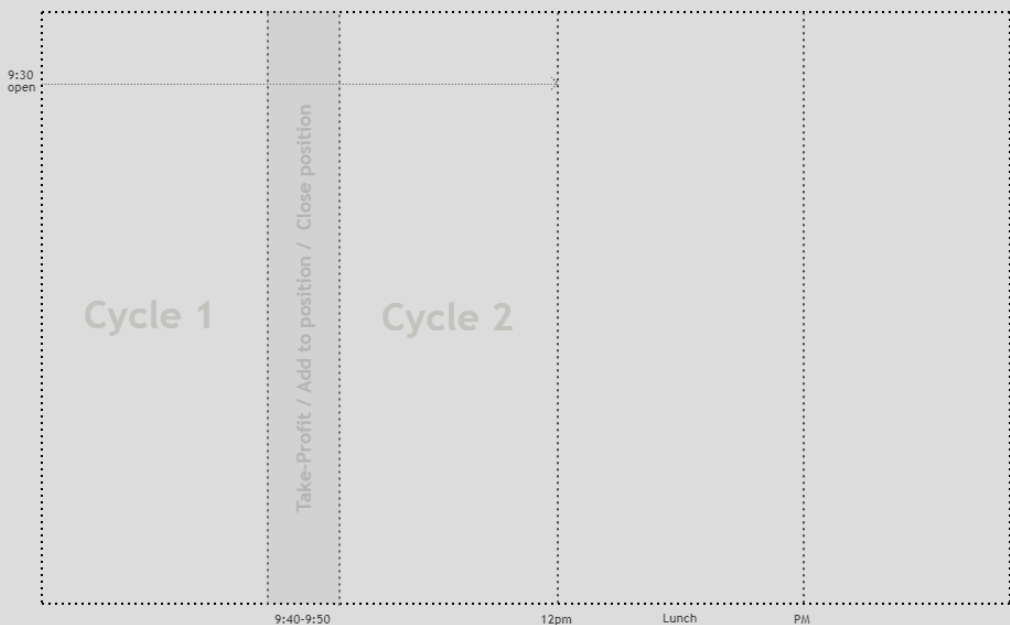


In the graphs above i've highlighted the entire trading day, segmented into key time windows, to define the price behavior during each period. This helps me manage my positions with clear expectations.

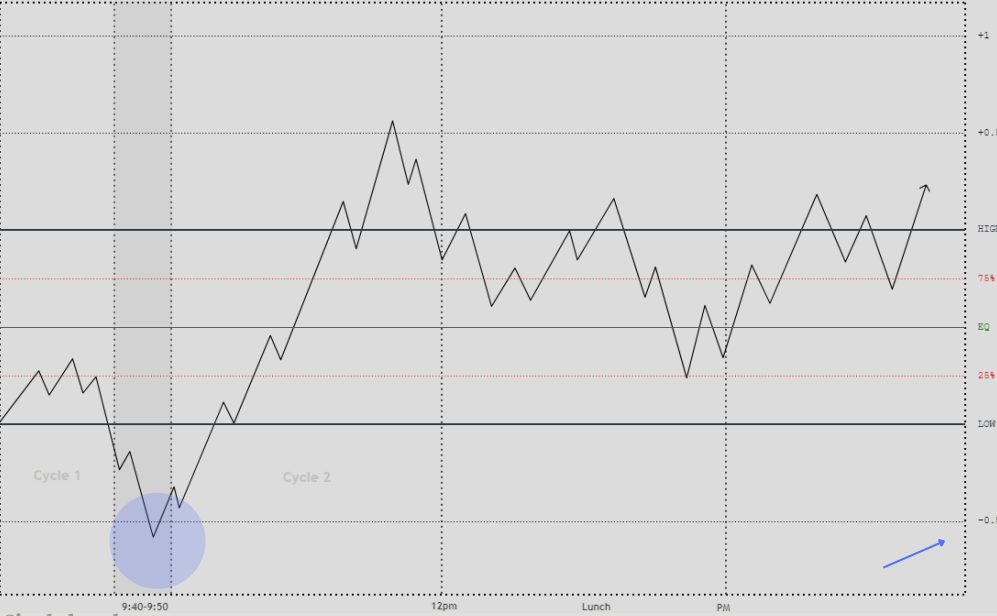
I focus on the 9:00 AM to 12:00 PM window as a whole to frame my setups, expecting specific price behavior during this period (which can be interpreted as a 3-hour "PO3"). This window captures most of the morning session's volume and significant price movements.

Within the 9:00 AM to 12:00 PM window, I've identified two time-defined entry and take-profit zones to guide my trades when paired with my framework. In both scenarios, trade opportunities arise at the open (9:30 AM) and during the 9:40 AM to 9:50 AM window, with take-profit points along the way.

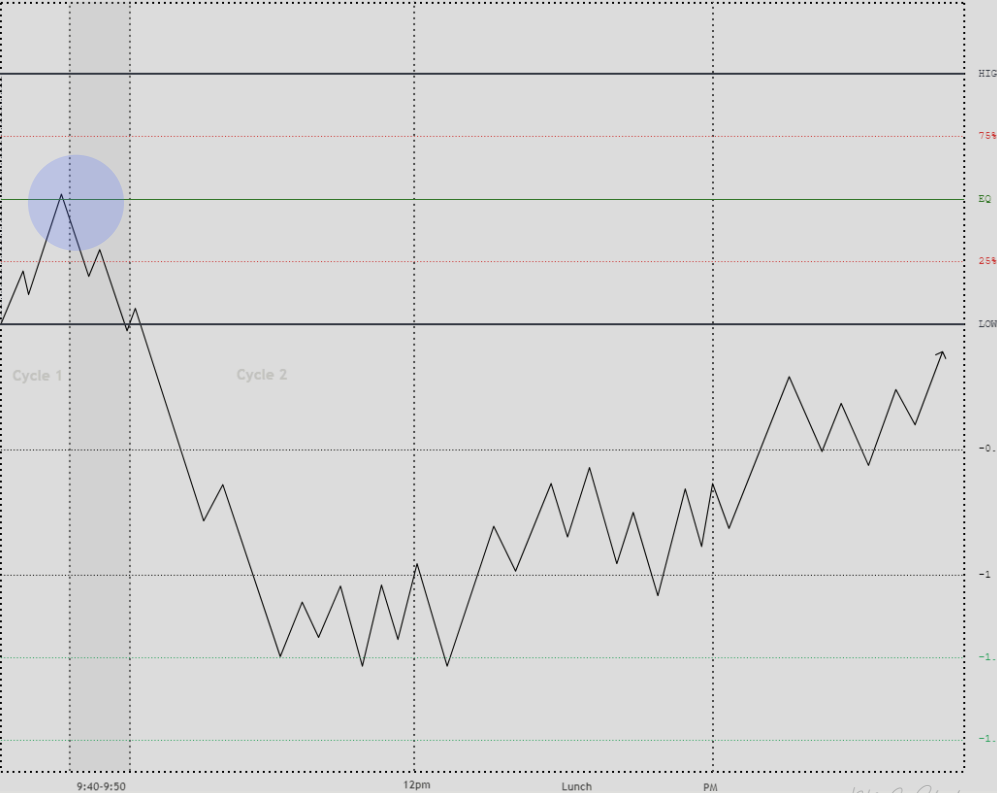
For each window, I manage my position by taking profits, adding to my position, or closing it entirely. When combined with my framework/indicator, this approach provides specific levels to act upon—essentially creating a matrix where **Time and Price** are integrated. This allows me to dissect the trading day into distinct cycles, during which price behaves differently.



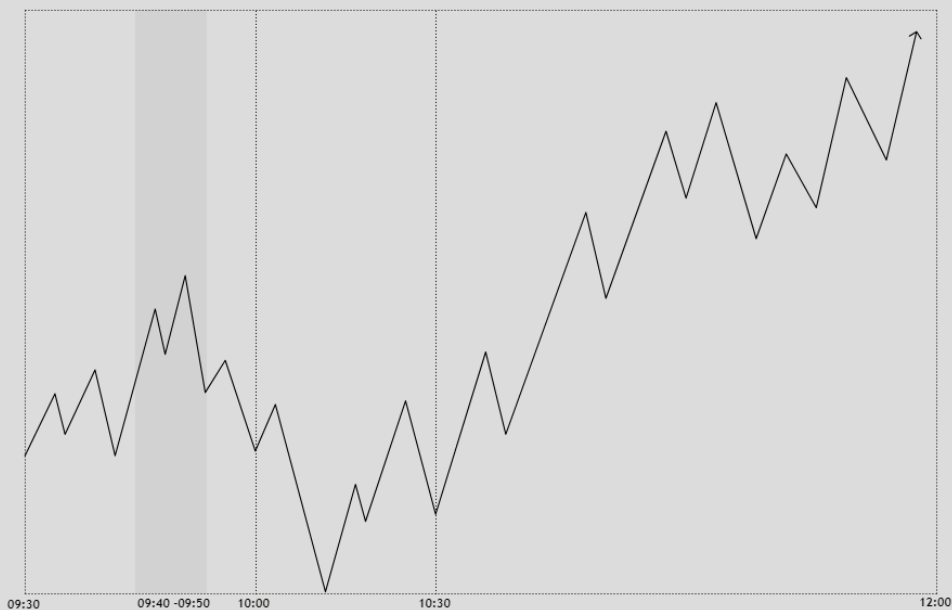
Reversal scenario



Single breakout scenario

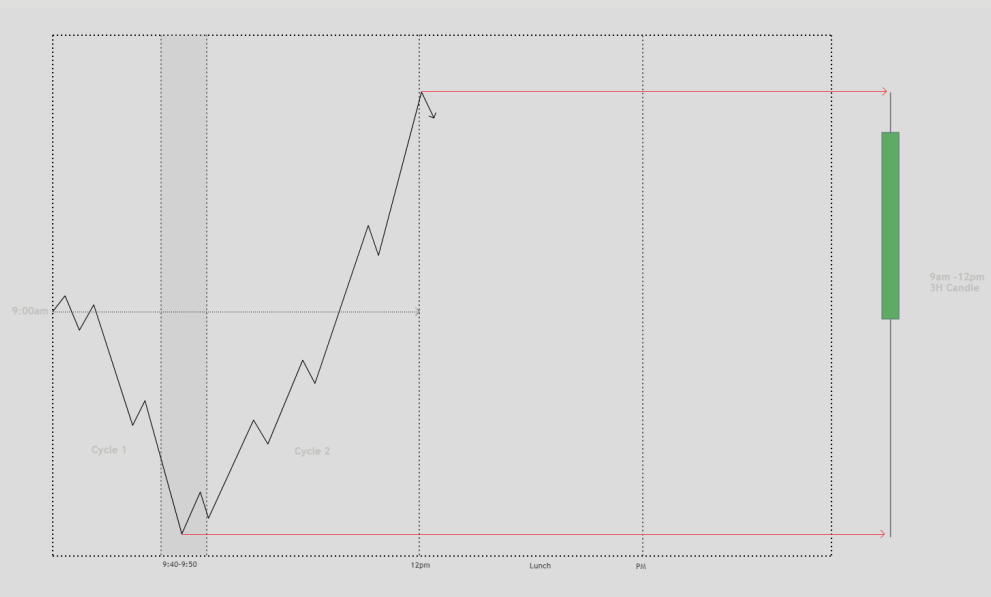


Delayed cycle 2 move with 10am news examples



On news days with a 10:00 am release, we often observe a delayed cycle 2 move. Instead of the expected reversal occurring between 9:40 and 9:50 (where a Judas swing typically happens), the real reversal takes place after the 10:00 am news.

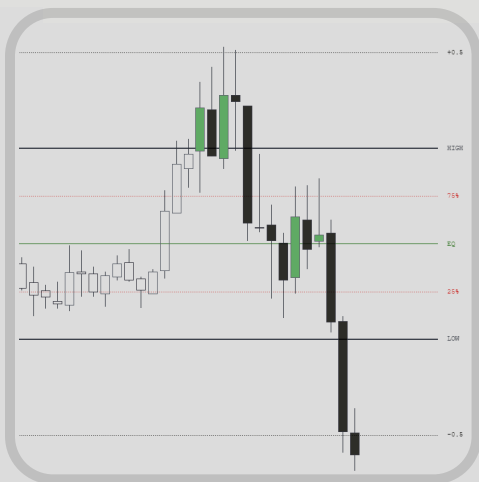
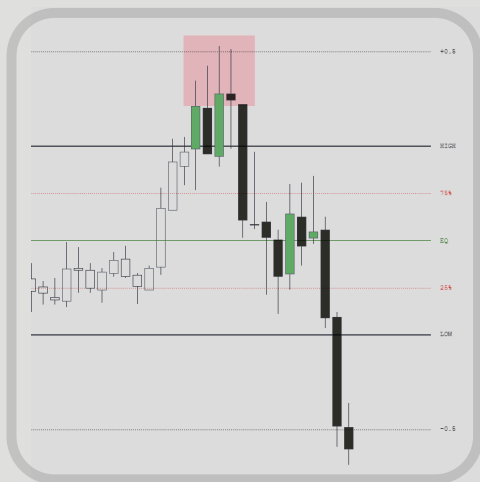
In this depiction, you can notice how i'm dissecting the 3 hour candle (9AM - 12PM) using the **Time and Price matrix** to position myself accordingly having in mind this interpretation.



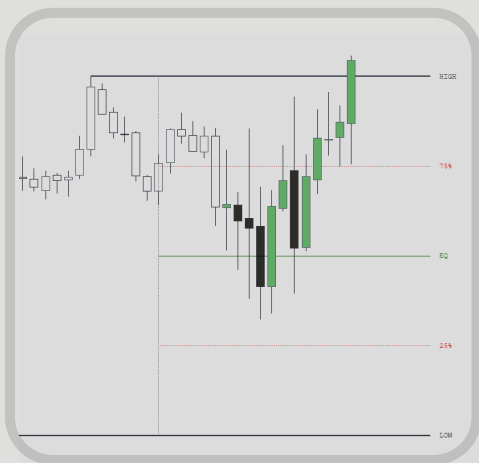
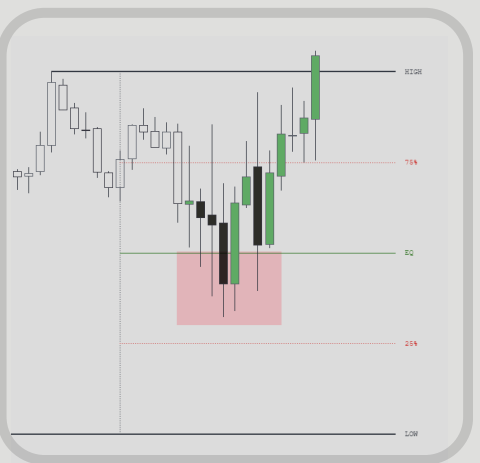
Levels Interaction (section c.)

In this section i will talk about all the levels interaction of the framework and how price behaves and presents price signatures to take into account when framing your trades.

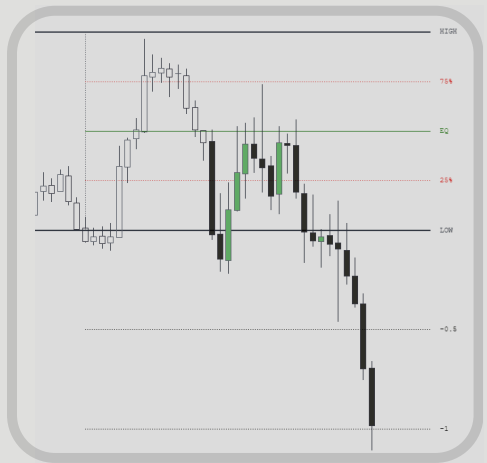
Reversal scenario



In the reversal scenario, when we're looking for price signatures, all we want to identify is how price is behaving at our anticipated levels. when we're expecting a reversal, you can notice how candles form at the levels, constant rejection and multiple wicks they are usually a hint of price not willing to expand further but rather about to reverse not having enough fuel to continue its direction



Single breakout scenario



1.33 1.66 Retracement/Reversal levels



It's important to note the 1.33 1.66 levels and monitor the interaction at these levels. They function as Retracement/Reversal area where price will continue the direction of AM or reverse all of the AM session through PM session.

Again this is all tied to **time** and its pivots are **time-sensitive**, this will guide you through PM in case of taking action after AM

Market Conditions (section d.)

In this section, I will touch on the importance of market conditions and how they dictate the outcome of the model. Just like any other model, market conditions play a significant role in the trading session due to their somewhat predictable nature. While we cannot fully anticipate market conditions, we can predict their behavior and adjust our expectations and risk management accordingly.

Economic Calendar

Monitoring the economic calendar is crucial to understand where we are in the week with regard to limiting our participation on range-bound or increase exposure in volatile days. This allows us to adjust our expectations for risk, profit-taking, and overall participation.

USD		Core CPI m/m	USD		FOMC Economic Projections
USD		CPI m/m	USD		FOMC Statement
USD		CPI y/y	USD		FOMC Press Conference
USD		Non-Farm Employment Change			

The three most important red folder news above, is what i would mainly monitor as well as the days leading up to the news.

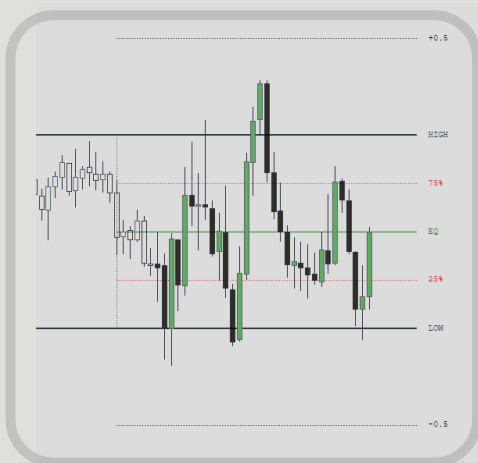
Usually, the way i approach this, i don't completely cease trading because there will always be set up present within the model, but i lower my expectations and risk and limit damage as much as possible in case of any.

Below i will present a table with the days of the week, during every specific week where news are present and mark the days with the respective approach to take.

-  Low risk/ low expectations
-  Moderate risk/Moderate expectations
-  risk-on/high expectations

News	Monday	Tuesday	Wednesday	Thursday	Friday
CPI					
NFP					
FOMC					

Examples of unfavourable Market conditions



As stated above, market conditions will be very important for the outcome of your trading session.

With the economic calendar, we can limit our participation in these market condition and prevent any significant damage.

In these occurrences, AM is completely off-limits, PM will usually have most of the moves.

Expectations (section e.)

“Refer to (section b. Market Conditions)”

In this section, we will see how to adjust our expectations based on conditions. This is also important as it will dictate the outcome of your trades management it will be useful to limit unnecessary losses, roundtrip trades, lock-in profits at the right time.

Based on what we talked about in the previous section (“market conditions”) we will adopt different approaches on the framework.

Extended Overnight Session (6am -9pm) usually present on 8:30 red folder news

- **Targets**

Targets in these conditions will be limited to the high and low of the overnight range until lunch time.

Having an extended overnight range, these targets will suffice for the entirety of the AM session, price will be slower and harder to engage in the market

- **Risk**

Risk should be considerably moderated, invalidations for you entries will be a lot larger than usual depending on your entry model.

Price action will be grindy for the most part with deep retracements knocking you out of your position.

Range-bound price action leading to news days

- **Targets**

Targets in these conditions will be limited to the high and low of the overnight range or inner range levels in case of outside of range openings

A scalping approach should be adopted with in and outs and considerably reduced Risk/Reward trades

- **Risk**

Risk should be considerably moderated, invalidations for you entries will be a lot larger than usual depending on your entry model.

Price action will be grindy for the most part with deep retracements knocking you out of your position.

Expansive days - favourable market conditions

- **Targets**

Targets in these conditions should be exponentially higher, higher projections of the range will be highly probable allowing you to hold positions for longer, here is where you want to compound on your winners and let runners run.

Risk/Reward increases and price action will be a lot easier to engage.

- **Risk**

Risk can be increased, and multiple entry opportunities will be provided.

In case of being knocked out of your position, a re - entry is considered to be plausible due to fast and one-directional price action.

RMC Strategy

Trading Orders Presets (section d.)

“Trading view”

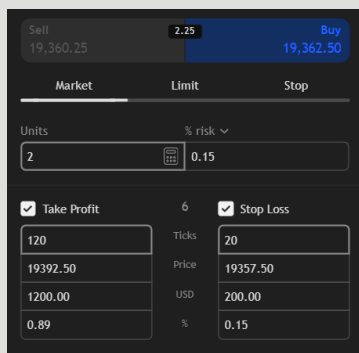
TRADING VIEW:

Adopting the use of presets for your orders, will allow you to be quick on executions during high volatility especially at market open. It will set your target and stop loss instantly without wasting time pulling R/R tools or manually setting stop loss and target.

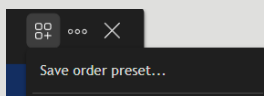
There three different entries: Market Order, Limit Order, Stop Order each of them will be beneficial on different scenarios.

- **Market Order**

Instant execution at current or best price available (this is what i mostly use during high volatility)



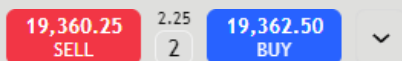
The screenshot shows the 'Market' tab selected in the TradingView order entry interface. At the top, it displays 'Sell' and 'Buy' buttons with the current price '19,360.25' and a target price of '2.25'. Below this, there are tabs for 'Market', 'Limit', and 'Stop'. The 'Market' tab is active. Under the 'Units' section, '2' is entered. The '% risk' is set to '0.15'. The 'Take Profit' section is checked and shows a value of '120' with a price of '19392.50'. The 'Stop Loss' section is also checked and shows a value of '20' with a price of '19357.50'. There are also fields for 'Price' (1200.00) and 'USD' (0.89).



The screenshot shows a button labeled 'Save order preset...' with a dropdown arrow next to it.

Set your desired Stop Loss and target price as well as your desired risk and save preset.

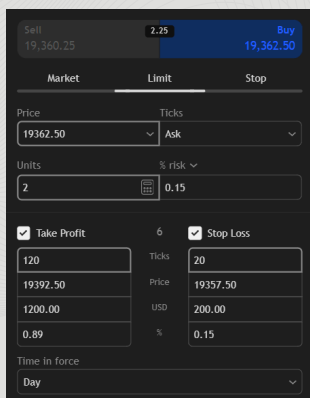
Once activated Buy/Sell buttons and instant execution at the top-left of your chart, you will have instant execution when pressed buy or sell.



The screenshot shows the 'Buy' and 'Sell' buttons at the top-left of the chart. The 'Sell' button is red and shows '19,360.25'. The 'Buy' button is blue and shows '19,362.50'. There is a dropdown arrow next to the 'Buy' button.

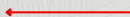
- **Limit Order**

Generally i don't use Limit Orders unless i'm copying multiple accounts on my copier for precise execution avoiding to de-sync my accounts when entering a position and trading low volatility conditions.



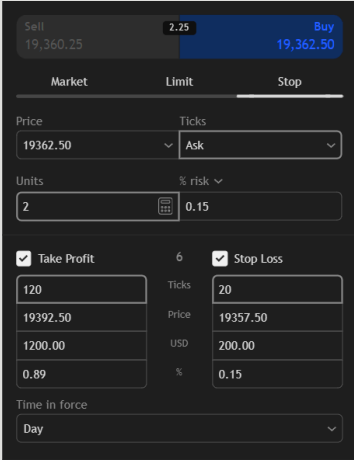
The screenshot shows the 'Limit' tab selected in the TradingView order entry interface. At the top, it displays 'Sell' and 'Buy' buttons with the current price '19,360.25' and a target price of '2.25'. Below this, there are tabs for 'Market', 'Limit', and 'Stop'. The 'Limit' tab is active. Under the 'Price' section, '19362.50' is entered. The 'Units' section shows '2'. The '% risk' is set to '0.15'. The 'Take Profit' section is checked and shows a value of '120' with a price of '19392.50'. The 'Stop Loss' section is also checked and shows a value of '20' with a price of '19357.50'. There are also fields for 'Price' (1200.00) and 'USD' (0.89). The 'Time in force' is set to 'Day'.

Set your desired Stop Loss, target price and desired risk, i have my “ask/bid” set to 0 for a more precise execution.



- **Stop Order**

I use this preset frequently, especially in volatile price action, and just like the limit order i noticed is beneficial when copying multiple accounts avoiding to de-sync your accounts when entering.



The screenshot shows a trading interface with a dark theme. At the top, there are 'Sell' and 'Buy' buttons with prices 19,360.25 and 19,362.50 respectively. Below this is a tabbed interface with 'Market', 'Limit', and 'Stop' tabs. The 'Stop' tab is selected. Under the 'Stop' tab, there are fields for 'Price' (19362.50) and 'Ticks' (Ask). Below these are 'Units' (2) and '% risk' (0.15). There are two checkboxes: 'Take Profit' and 'Stop Loss', both of which are checked. The 'Take Profit' section has fields for 'Ticks' (120), 'Price' (19392.50), 'USD' (1200.00), and '%' (0.89). The 'Stop Loss' section has fields for 'Ticks' (20), 'Price' (19357.50), 'USD' (200.00), and '%' (0.15). At the bottom, there is a 'Time in force' dropdown menu set to 'Day'.

Just like the other presets, set your desired Stop Loss, target price and desired risk, “ask/bid” should also be set to 0 for a more precise execution.

The same can be done with other softwares like NinjaTrader or Tadovate in case of anyone executing on different softwares other than Trading view.

Entry Models (section e.)

“Personal favourites not fixed to the model”

In this section, I will go through my usual entry models to engage in the market with the model presented.

The entry models will be tied to your win rate and management, everyone has a different view on win rate, some prefer a high win rate and low Risk/Reward, some prefer a low win rate and high Risk/Reward.

This is entirely up to you, but the way a personally operate, i usually go for high Risk/Reward trades, sacrificing my win rate.

As a rule of thumb, win rate doesn't define your profitability as a trader and it's very much dependant on the trader's style.

Orderblocks - Rejection blocks

These are my personal favourite functions for my entry models, especially on reversals, they usually provide a good invalidation with tight stop losses allowing me to engage in high Risk/Reward trades.

Time frame of execution 2 minutes 3 minutes 5 minutes

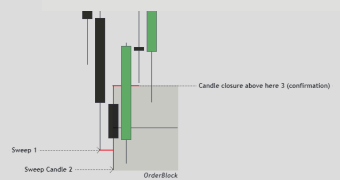
3 candles formation OB entry (Reversal)

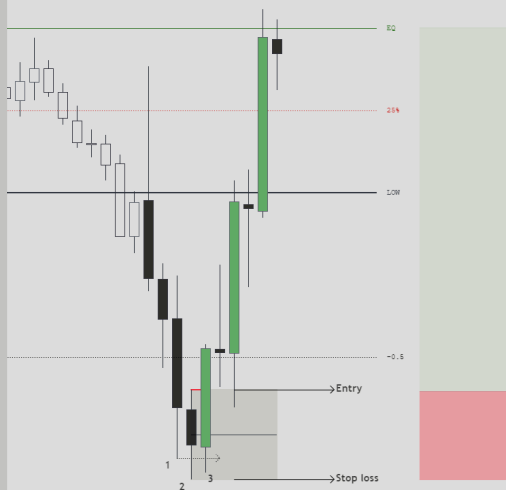


Aggressive Stop Loss at the midpoint of the orderblock providing high Risk/Reward trades

candle 2 sweeps candle 1
candle 3 closes above candle 2
candle 3 confirms the set up closing above candle 2

This entry model is i usually wait for during reversals



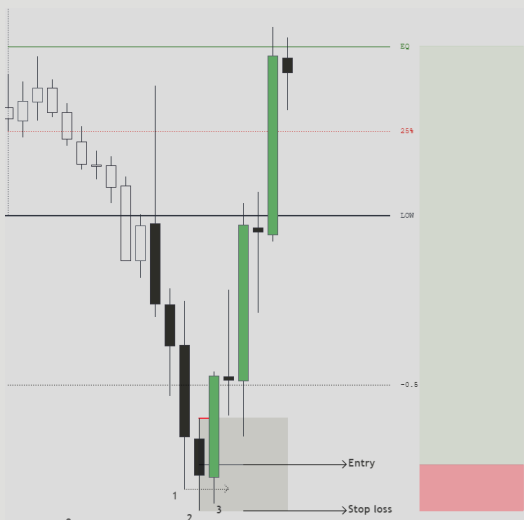


**3 minutes
Time Frame**

Conservative Stop Loss at the low of the orderblock providing a slightly lower high Risk/Reward trade

candle 2 sweeps candle 1
candle 3 closes above candle 2
candle 3 confirms the set up closing above candle 2

This entry model is also what i usually wait for during reversals



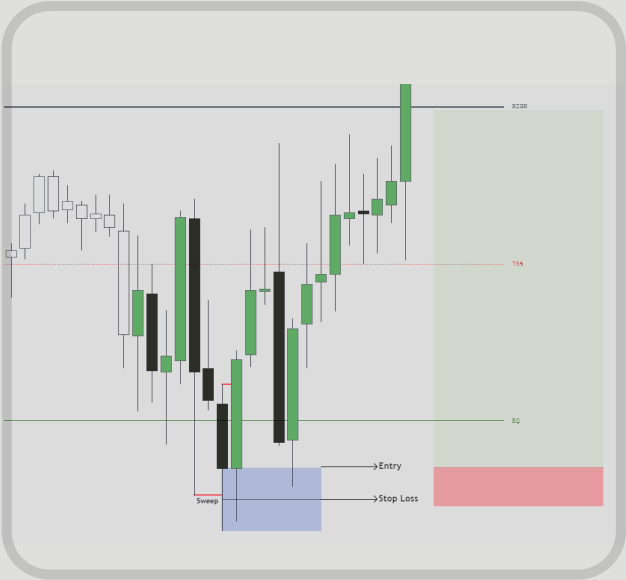
**3 minutes
Time Frame**

Aggressive entry at the midpoint of the orderblock trades providing high Risk/Reward trades

candle 2 sweeps candle 1
candle 3 closes above candle 2
candle 3 confirms the set up closing above candle 2

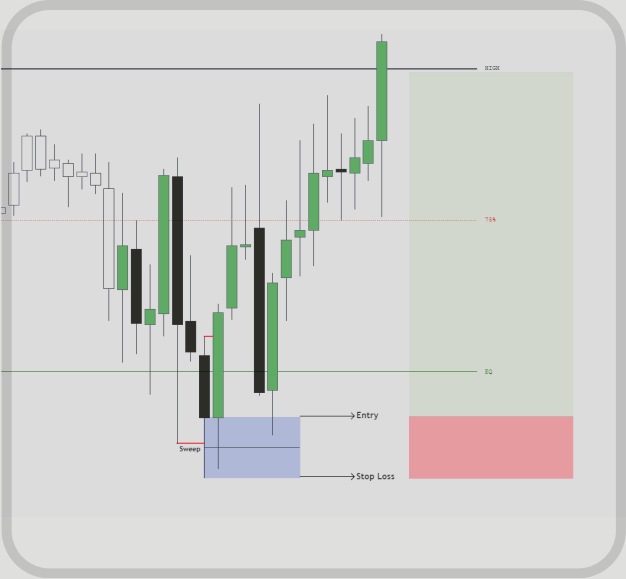
Same view on reversals

Rejection Blocks (Reversals - Single Breakout)



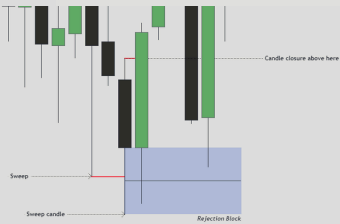
Aggressive Stop Loss at the midpoint of the rejection block providing high Risk/Reward trades.

Closure of the candle above the sweep candle confirms the rejection block set up



Conservative Stop Loss at the midpoint of the rejection block providing a slightly lower high Risk/Reward trade

Closure of the candle above the sweep candle confirms the rejection block set up

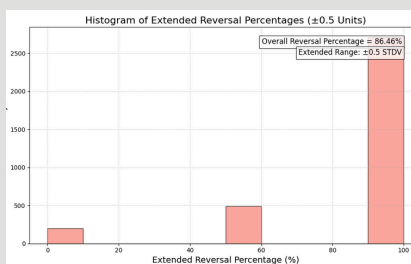
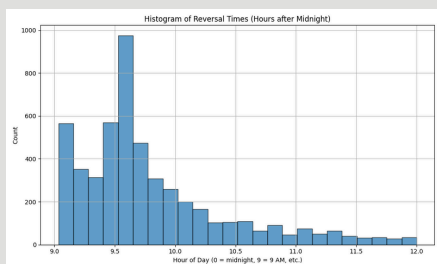


Statistical Approach

The information in this section are based on 20 years E-mini Nasdaq 100 demonstrating and compounding the model characteristics over the course of the years.

It displays the key times of the significant moves and behaviour discussed so far.

All the data has been provided by “**CME Group**” which i then used and run through **Python** to gather statistics based on my model criteria.

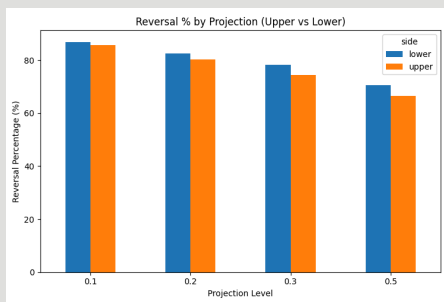


The two graphs above are displaying the highest count of reversal happening at a specific time window (left) which is what we discussed so far, the 9:40 9:50 reversal window. And on the right, the overall percentage of reversals happening at the -0.5 projection of the range (86.46%).

This analysis was done on 4537 days of data.

Average Reversal Time (Original Range) = 09:47:36 (HH:MM:SS)
Average Reversal Time (Extended Range) = 09:51:05 (HH:MM:SS)

Reversal Percentage from Extended Range = 86.46%



In this graph instead, we can see how significant are also the “mean reversal levels” projections, holding a very high percentage of reversal across all the days analysed.

All data statistics are based on the 9:00am - 12:00pm time window, which is where we frame most of our set ups.

Confluences

Here is where we will make use of the other indicators provided in the collection, to reinforce our trade ideas.

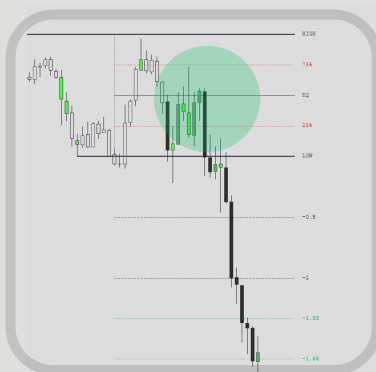
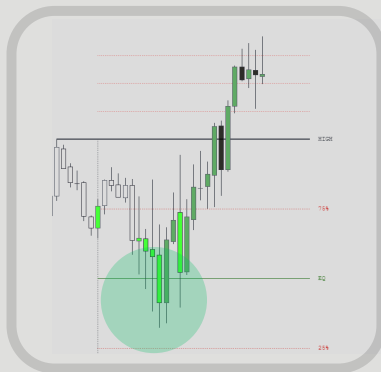
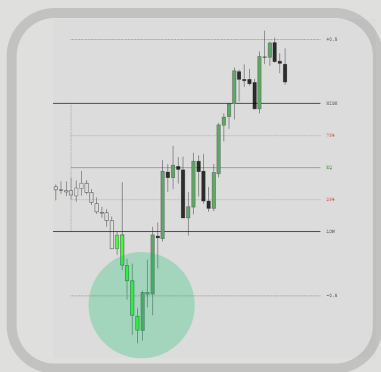
The SDRange framework already is a standalone model, but with the use of additional confluence we will have more confidence in the trade idea and direction.

Absorption zone+

★ Absorption Zone+

The concept behind this indicator is based on "absorption" in trading, which typically refers to when large players are absorbing (buying or selling) a significant amount of volume without moving the price much. This often happens at key levels (**Pairing SDRange framework with its key levels**) and can signal a potential reversal or continuation by highlighting the candles/zone where this takes place.

The small body with high volume suggests that despite significant trading activity, prices didn't move much in one direction - possibly indicating that large buyers or sellers are "absorbing" the opposing pressure, potentially before a move in their favor.



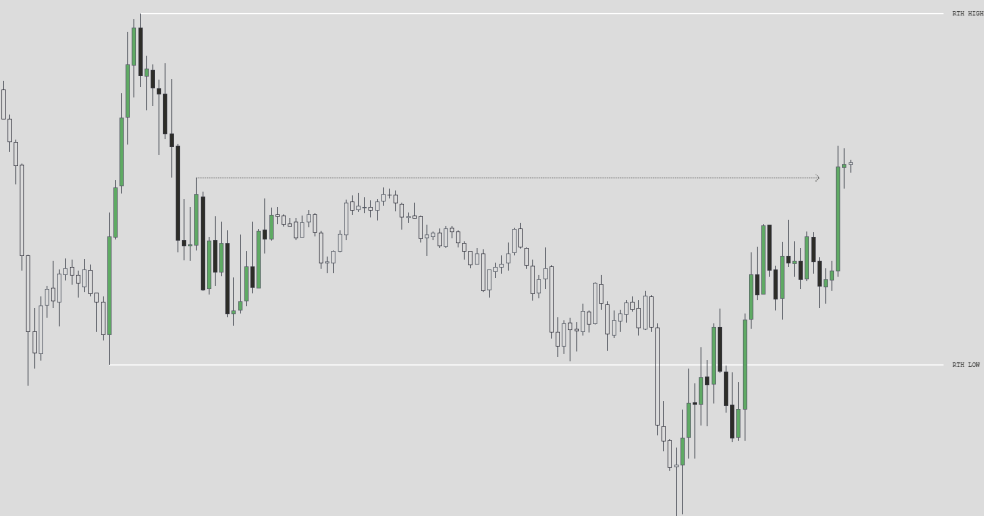
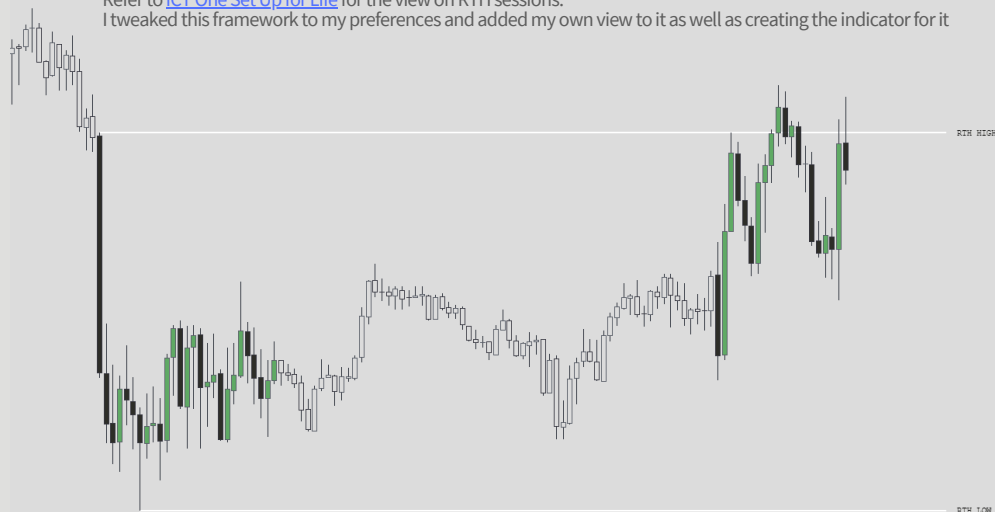
PD RTH Range+

★ PD RTH Range+ [JJumbo]

The primary purpose of this indicator is to help traders visualize the price range established during regular trading hours, which often serves as important Key levels for next day's RTH session tracking and displaying the Previous day's Regular Trading Hours (RTH) range High and Low and just like the **SDRange+**, it only highlights the RTH session when toggled on, helping visualize better the sessions of interest.

Refer to [ICT One Set Up for Life](#) for the view on RTH sessions.

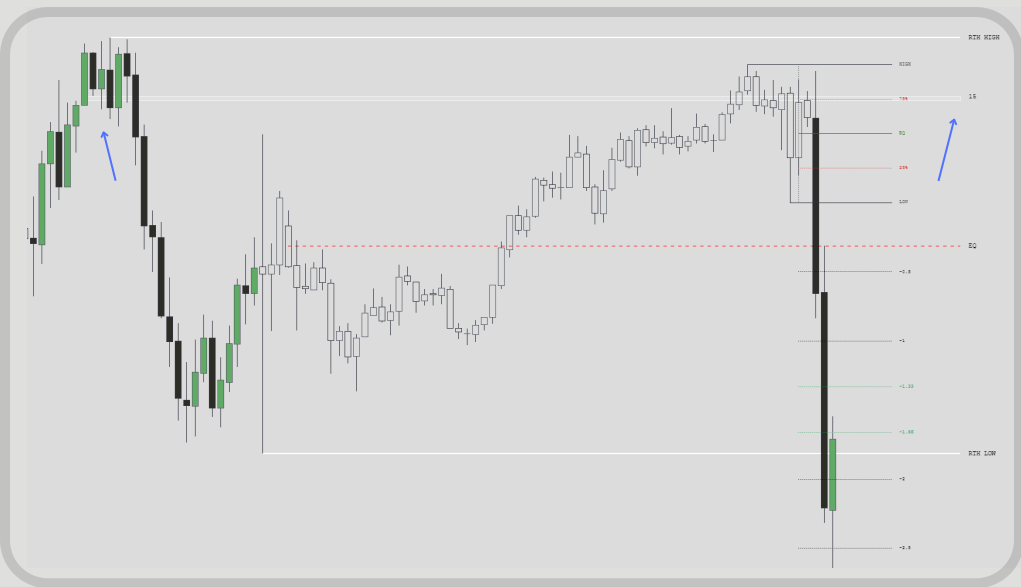
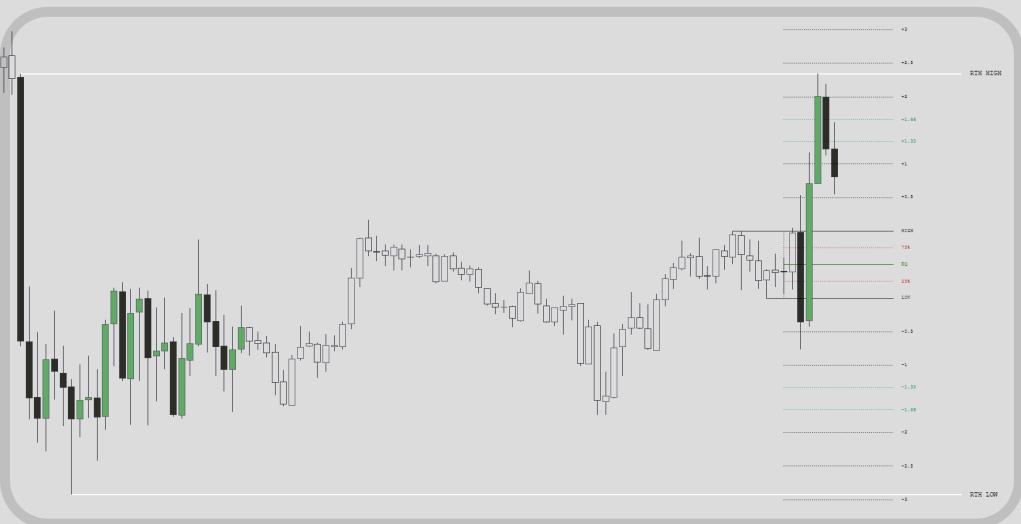
I tweaked this framework to my preferences and added my own view to it as well as creating the indicator for it



The concept behind the **PD RTH Range+** is to only focus on the RTH (Regular Trading Hours) price action (9:30 - 16:00) and its key levels to get your overall daily direction for the entirety of the trading session. You want to use its key levels especially highs and lows as draw on liquidity and imbalances (M15 and H1)



Here are few examples on how you can use it as confluence with the **SDRange+** indicator



You can notice that ETH session is not taken into account at all, our focus is mainly on RTH session, whatever ETH did, when using this framework, we completely disregard it. If highs get taken during ETH for example, we don't take it into account, we wait for RTH session to start and trade towards them, essentially we don't engage before RTH open but rather wait and let it tell us the direction once RTH opens.

Confluence indicators settings

(PD RTH Range+ Absorption zone+)

PD RTH Range+ [JJumbo] ✕

Inputs **Style** **Visibility**

RTH High Line Color 

RTH Low Line Color 

EQ Line Color 

Labels Color 

Line Style

Solid ▾

Line Width

2

EQ Line Style

Dashed ▾

EQ Line Width

1

Label Size

small ▾

☒ RTH Candles?

FIRST PRESENTED FVG

☒ Show FVG? ☒ Show Label?

FVG Box Color 

PROJECTIONS

☒ Show Projections?

☒ 0.5 ☒ 1.0

Projections Color 

- Fully customisable lines display
- RTH candles highlight
- First presented FVG displaying in current Time Frame chosen
- Range projections

Absorption Zone+ [JJumbo] ✕

Inputs **Style** **Visibility**

Body Size Threshold (as % of range)

0.6

Volume Multiplier

1.5

☐ Show box? Box Color 

Defaults ▾

Cancel

Ok

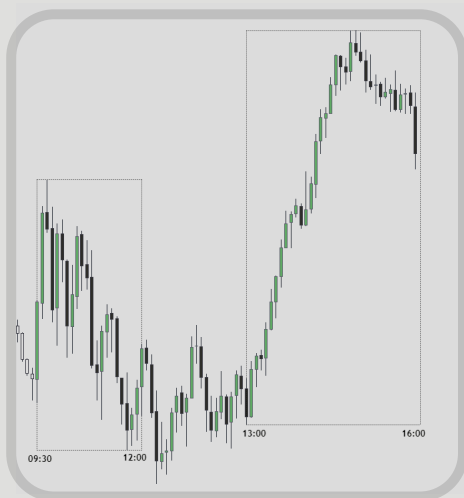
- Suggested settings as per picture

Candles characteristics threshold identifier

Higher than average volume (defined by the "Volume Multiplier" parameter against a 14-period volume average)

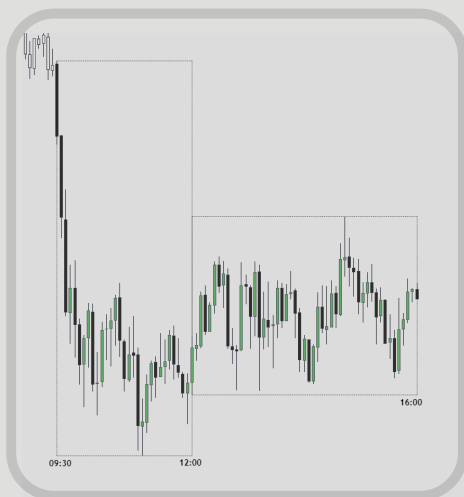
Sessions Correlation

Understanding the relationships between trading sessions provides valuable context for anticipating price behavior throughout the day. The following represent common correlations between AM (9:30-12:00), Lunch (12:00-13:00), and PM (13:00-16:00) sessions. There are other Profiles throughout the day but this is what we will focus on to trade my framework.



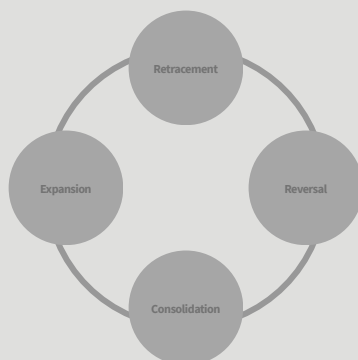
AM Consolidation → PM Expansion

- When the AM session trades in a narrow range with low directional conviction
- Lunch session often continues the consolidation
- PM session frequently breaks out of the range with stronger directional momentum
- Target: Higher projections from the AM session range



AM Expansion → PM Consolidation

- Strong momentum and range expansion during AM session
- Exhaustion of the move leads to choppy, range-bound activity in Lunch through PM
- PM often consolidates between key AM session levels



Model and Set Ups Failure

Recognizing Failure Signals

Failed 6-9 Model Reversal

- No Rejection Signature: When price reaches the projection levels during the 9:40-9:50 window but shows no rejection candles or orderblocks
- Continuous Momentum: Price continues through projection levels with strong momentum and volume, showing no signs of exhaustion
- Extended Bodies: Instead of wicks at projection levels, candles show extended bodies in the direction of the trend
- Daily direction mis-interpretation

Time Window Violations

- Missing the 9:40-9:50 Window: When price reverses significantly before or after our critical time window
- Extended Moves: Price moves beyond expected extensions without respecting time-based pivots
- Premature Reversals: Reversal occurs well before or after reaching the expected projection levels (e.g 10am news)

Risk Management During Failures

Early Recognition and Exit

- 3-Strike Rule: If price attempts to reverse 3 times at a level without follow-through, consider the setup failed
- Volume Divergence: When price reaches critical levels but without corresponding volume signature
- Tight Initial Stops: Using the aggressive stop placement mentioned in the entry models section to limit damage on failed setups

Adjusting After Recognition

- Exit and Observe: Once a setup is confirmed as failed, exit positions and observe for the remainder of the session
- Switch to Alternative Models: Consider using different setups like the Single Breakout Model or look for opportunities in PM session
- Reduce Position Size: If continuing to trade after a failed setup, reduce your risk allocation by at least 50%

Key Takeaways

1. Failing Fast: Recognizing failures quickly preserves capital and mental energy
2. Contextual Awareness: Understanding why a setup failed improves future decision-making
3. Statistical Mindset: No setup works 100% of the time; respect the statistical nature of market edges
4. Risk Management: Having pre-defined failure protocols prevents emotional decision-making

Conclusion

The time-based trading methodology presented in this document offers a systematic approach to identifying high-probability trading opportunities in financial markets. By focusing on specific time windows and price behaviors, traders can develop a structured framework that reduces subjective decision-making and emotional interference.

Take your time to go through the content and train your eye to see the framework in action and get a good grasp of it.

Key principles of this approach include:

1. **Time-Price Matrix:** Understanding the relationship between specific time windows and price behavior creates predictable opportunities in the market.
2. **Statistical Edge:** Historical analysis spanning 20 years of market data validates the significance of key time windows, particularly the 9:40-9:50 reversal window with its 86.46% probability of reversal at projection levels.
3. **Adaptability:** The framework can be adjusted based on market conditions, with clear guidelines for modifying expectations and risk management during different scenarios.
4. **Risk Management Integration:** From precise entry models to failure recognition protocols, risk management is embedded throughout the entire trading process.
5. **Systematic Execution:** Through consistent application of the tools and models presented, traders can develop a repeatable process for engaging with the markets.

Remember that success with this methodology requires:

- **Consistent application of the principles and tools**
- **Proper risk management with each trade**
- **Recognition of favorable versus unfavorable conditions**
- **Regular review and refinement of your approach**

No trading method is effective 100% of the time, which is why understanding both the ideal setups and potential failures is critical. By respecting the statistical nature of market edges and having clear protocols for various scenarios, you can navigate the inevitable fluctuations of trading performance.

I encourage you to first practice this approach in a simulated environment, documenting your observations and outcomes before applying it with real capital. Success will come not just from understanding the concepts presented, but from your personal discipline in applying them consistently over time.

Trading is both an art and a science - this framework provides the scientific foundation, but your experience and judgment will refine it into a personalized approach that works for your specific goals and risk tolerance.

Best of success in your trading journey,

J. Jumba